higher profit. This drives a ceaseless process of improving the product and reducing the cost of production. This is done by understanding the consumer better and through technological change.

Firms are given no guarantee of profit or survival. The market system demands ceaseless innovation. Every now and then, some firms that fail to cater to the needs of customers go out of business. And, when the profit rates of incumbents become attractive, new firms are created to compete in this business.

Therefore, firms must endlessly run on a treadmill, trying harder to please consumers with better and cheaper products. The productivity gains of a firm (through greater capital investment or through better technology) generate higher wages for workers as their contribution to output goes up.

All these good things happen out of the mere self-interest of firms and consumers. This free-market process induces prosperity, creativity, innovation and individual freedom. No central planning or control is required, to get to an endless process of economic growth and prosperity.

Societies where the freedom of individuals is prized are those that harness the energy of their people. The most prosperous countries of the world are liberal democracies. Every now and then, there is envy of the growth rates that an authoritarian regime in China has been able to produce, but few would want to live there. *Immigration is the sincerest form of flattery*, and this is where liberal democracies stand out.

We in India are very used to state domination of society. It comes as a surprise to recall remarkable achievements in history that are mostly born of individual initiative.

We tend to assume that the exploration of (say) Antarctica is the work of some government agency. But it was a private person—Vasco da Gama—who found the first sea route from Europe to India. A private person—J.R.D. Tata—first purchased planes and set up an airline in India. These achievements were not planned and run by the Portuguese or British governments; they took place at the initiative of *private* persons.

Similarly, in India, we tend to think that space exploration is the work of Indian Space Research Organisation (ISRO) which is a government